human resources of any society or nation are the first building blocks of the economy.

Capital in today's world is essentially made up of two factors: human enterprise and technological ability used to produce goods and services in the form of tools, machines and electronic platforms. Scientific knowledge and the technological ecosystem produce or adapt tools, machines and technology. Entrepreneurial innovation and spirit put these into action to produce and distribute goods and services. Enterprise and technological prowess can make up for deficiency of land, natural resources and financial resources. Enterprise and technological prowess constitute real capital.

Third, policy makes a material difference in the growth of the economy and distribution of the value added.

The structure of the economy, its ability to grow and the fairer distribution of income earned depends considerably on the economic policies governments choose to adopt and implement. There are fundamental or most basic structural policies, such as adoption of a communist, socialist or capitalist form of economy, openness or otherwise to global trade, investment, technology, labour and the like. As these broad policy frameworks impact incentives of entrepreneurs and labour, innovation and technology adoption, private or public-sector dominance of the economy and inflow of foreign investments and technology, they result into very different economic outcomes in terms of growth and distribution of value added. Stepped-down economic policies in different sectors and the elements of the economy also make an important contribution within the contours of broader economic policies.

The government decides the policy that creates the ecosystem for productive or unproductive use of human and capital resources and the growth and distribution of value added in the economy.

Three basic building blocks—human resources, capital and policy—determine the rise and fall of the household, societal and global economy. A